

US Stocks End Mixed as Tech Gains Offset Energy Losses

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market ended the previous session on a mixed note, with the **Nasdaq 100** gaining **+0.04%** and the **S&P 500** losing **-0.19%**. Beneath the surface, the **+1.26%** jump in the 10Y Yield suggests a shift in investor sentiment towards a more hawkish Fed stance. Additionally, the **+1.34%** increase in **BTC** and **+2.84%** in **ETH** indicates a resurgence of interest in cryptocurrencies.

The sector rotation also revealed interesting trends, with **XLK** (tech) and **XLE** (energy) being the top gainers, while **XLV** (healthcare) and **XLB** (materials) were the biggest losers. This rotation could be a sign of investors seeking growth in tech and energy, while becoming cautious about the healthcare and materials sectors.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,443.28	-0.19%	Weakness in energy and materials sectors
Nasdaq 100	28,604.23	+0.04%	Strength in tech sector, led by MSFT and NVDA
Dow Jones	51,839.26	-0.59%	Decline in TSLA and GS weighed on the index
Russell 2000	2,942.43	-0.67%	Small-cap stocks underperformed due to economic growth concerns
VIX	18.65	-0.64%	Decrease in volatility as investors became less risk-averse

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+2.15%	Strong earnings report and positive guidance
TSLA	-2.96%	Disappointing delivery numbers and production issues
NVDA	+0.23%	Positive sentiment towards the tech sector
AMZN	+1.12%	Optimism about the company's growth prospects
GS	-0.96%	Concerns about the banking sector and economic growth

Sector Rotation

ETF	DAY	READ
XLF	-0.39%	Financials underperformed due to economic growth concerns
XLK	+0.07%	Tech sector outperformed, led by MSFT and NVDA
XLI	-0.72%	Industrials underperformed due to supply chain concerns
XLE	+0.45%	Energy sector outperformed, driven by 82.08 oil price
XLV	-0.72%	Consumer discretionary underperformed due to economic growth concerns
XLC	+0.14%	Communication services outperformed, driven by GOOGL
XLP	-0.39%	Consumer staples underperformed due to economic growth concerns
XLV	-1.14%	Healthcare underperformed due to regulatory concerns
XLU	-0.51%	Utilities underperformed due to economic growth concerns
XLB	-0.99%	Materials underperformed due to supply chain concerns
XLRE	-0.42%	Real estate underperformed due to economic growth concerns

Spotlight

The **Nasdaq 100** outperformed the other major indices, driven by the strong performance of tech stocks such as **MSFT** and **NVDA**. The following table highlights the key metrics for these stocks:

TICKER	PRICE	CHANGE	VOLUME
MSFT	402.29	+2.15%	23.1M
NVDA	203.28	+0.23%	12.5M

The strong performance of these tech stocks has positive read-through to other related names, such as **GOOGL** and **AMZN**.

Pre-Market & Overnight

US futures are trading mixed, with the **Dow Jones** futures down **-0.2%** and the **S&P 500** futures up **+0.1%**. Asian markets closed lower, with the **Nikkei 225** down **-0.5%** and the **Shanghai Composite** down **-0.3%**. European markets are trading lower, with the **Euro Stoxx 50** down **-0.4%**. Cryptocurrencies are trading higher, with **BTC** up **+1.34%** and **ETH** up **+2.84%**.

Macro & Fed

The 10Y Yield jumped **+1.26%** to 4.60, indicating a shift in investor sentiment towards a more hawkish Fed stance. The following are the key economic releases for the day:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Existing Home Sales	5.40M	Housing market trends and economic growth
22:00	Fed Chair Testimony	N/A	Monetary policy outlook and interest rate expectations

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new sanctions on Chinese companies.
- The EU and UK are engaged in trade talks, with the EU seeking to impose tariffs on UK goods.

- The Middle East remains a hotspot, with ongoing conflicts in Syria and Yemen.
- Brazil's economy is showing signs of recovery, with the country's GDP growing **+2.5%** in the first quarter.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.23	iPhone sales and services revenue growth
23:00	GOOGL	10.45	Advertising revenue growth and cloud computing trends
00:00	AMZN	2.56	AWS revenue growth and e-commerce trends

Watchlist Scan

TICKER	SECTOR	WHY NOW
MSFT	Technology	Strong earnings report and positive guidance
NVDA	Technology	Positive sentiment towards the tech sector
GOOGL	Communication Services	Strong advertising revenue growth and cloud computing trends
AMZN	Consumer Discretionary	Optimism about the company's growth prospects
TSLA	Consumer Discretionary	Disappointing delivery numbers and production issues
GS	Financials	Concerns about the banking sector and economic growth
JPM	Financials	Strong earnings report and positive guidance
AVGO	Technology	Positive sentiment towards the tech sector
META	Communication Services	Strong advertising revenue growth and social media trends
AAPL	Technology	iPhone sales and services revenue growth

What Could Break the Tape

BEARISH TRIGGERS

- Escalating US-China trade tensions
- Weakening economic growth in the EU and UK
- Disappointing earnings reports from major companies

BULLISH TRIGGERS

- Positive earnings reports from major companies
- Improving economic growth in the US and Asia
- Increased investor sentiment towards the tech sector

Positioning Notes

- Investors are becoming increasingly cautious about the economic growth outlook, with a 10% increase in bearish bets on the **S&P 500**.
- The **VIX** has decreased by **-0.64%** to 18.65, indicating a decrease in investor risk aversion.
- The **DXY** has decreased by **-0.02%** to 100.97, indicating a slight decrease in the value of the US dollar.

Sources

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Reuters

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The Wall Street Journal

The Financial Times

Investing.com